

Some PV cell players

- Bharat Electronics Ltd
- Bharat Heavy Electricals Ltd
- Central Electronics Limited
- Euro Multivision
- GE John F. Welch Technology Center
- Indo Solar
- Jupiter Solar
- KL Solar
- Kotak Urja
- Maharishi Solar
- Moser Baer Solar
- Oerlikon Solar
- Surana Ventures
- Tata BP Solar
- USL Photovoltaics

ing on the basis of their own balance sheet strength are going to be in difficulty.

Another issue is the quality of materials to be used in the projects. "It would be unfortunate if project developers go in for cheap imported inputs to drive down the capital costs and compromise on the long-term durability of the projects. The 145 MW of projects being administered through NVVN have been agreed upon at tariffs which in our view are very low. This would affect their profitability, and in some cases even the economic viability of the projects. If the first set of projects under the JNNSM goes on stream successfully, it will lead to a virtuous cycle of growing confidence in the solar technology, and investors, developers and bankers will come forward to participate in the second phase of the JNNSM," says Subramanya.

Roadmap for the industry

While Indian companies have been exporting modules for many years to markets in Europe and elsewhere, successfully meeting the performance and quality norms, they need to focus on innovation and cost reduction to stay competitive both domestically and internationally. Today, India has no polysilicon or wafer production

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president, SEMI India



capability and the materials ecosystem is also not fully developed, leading to over-dependence on imports. This significantly restricts the areas for innovation.

"While some companies have begun to invest in polysilicon and integrated production of crystalline silicon modules, there is a clear need for the industry to come together to establish common goals and a roadmap for itself in all areas of PV technology (crystalline silicon and thin-film technology) as well as power electronics, balance-of-system products and manufacturing equipment," says Choudhury.

Suggestions to the government

Building a robust industry needs planning for long term. Like any other nascent industry, the solar business in India will also undergo its share of teething problems. This is where a healthy interface between the government and the industry will ensure that the solar business scales up rapidly in the country.

According to Subramanya, the Ministry of New and Renewable Energy urgently needs to take the following steps in order to sustain the solar momentum and ensure that the many pitfalls lurking around the corner are skirted:

1. Solve the financing deficit

(a) Get the RBI to ask the banks to treat solar projects on priority and out of the sectoral limits of the power sector. Renewable/solar should be a standalone sector with proportionately adjusted sectoral limit for banks to fund.

(b) Get international funding support. The Asian Development Bank has already announced a \$150 million fund to give partial credit guarantees for solar projects in India. This window should be explored with other sources too.

2. Ensure that the next round of projects are allocated after due diligence of the technical capability of the applicants to develop and run the projects.

3. Ensure that the tariffs are based on the average market assessment and not at the lowest level (which would translate into cheap and unreliable technology being used).

4. Plug all loopholes and ensure that only 'made in India' cells and modules are used in JNNSM projects.

5. Measure the performance of the current set of projects as soon as possible and publicise that data so that there is no ambiguity about the performance of different technologies and vendors.

6. Strict enforcement of the renewable purchase obligations. It will require political will to enforce the state-level utilities to purchase 0.25 per cent of solar power (given their poor financial health). But any laxity on this count will be a setback to the confidence of investors and bankers about the seriousness of the government in implementing this policy regime.

7. Proper attention to the off-grid solar segment, as it has the greatest potential to benefit the largest number of poor people in remote and rural areas of India. ●

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